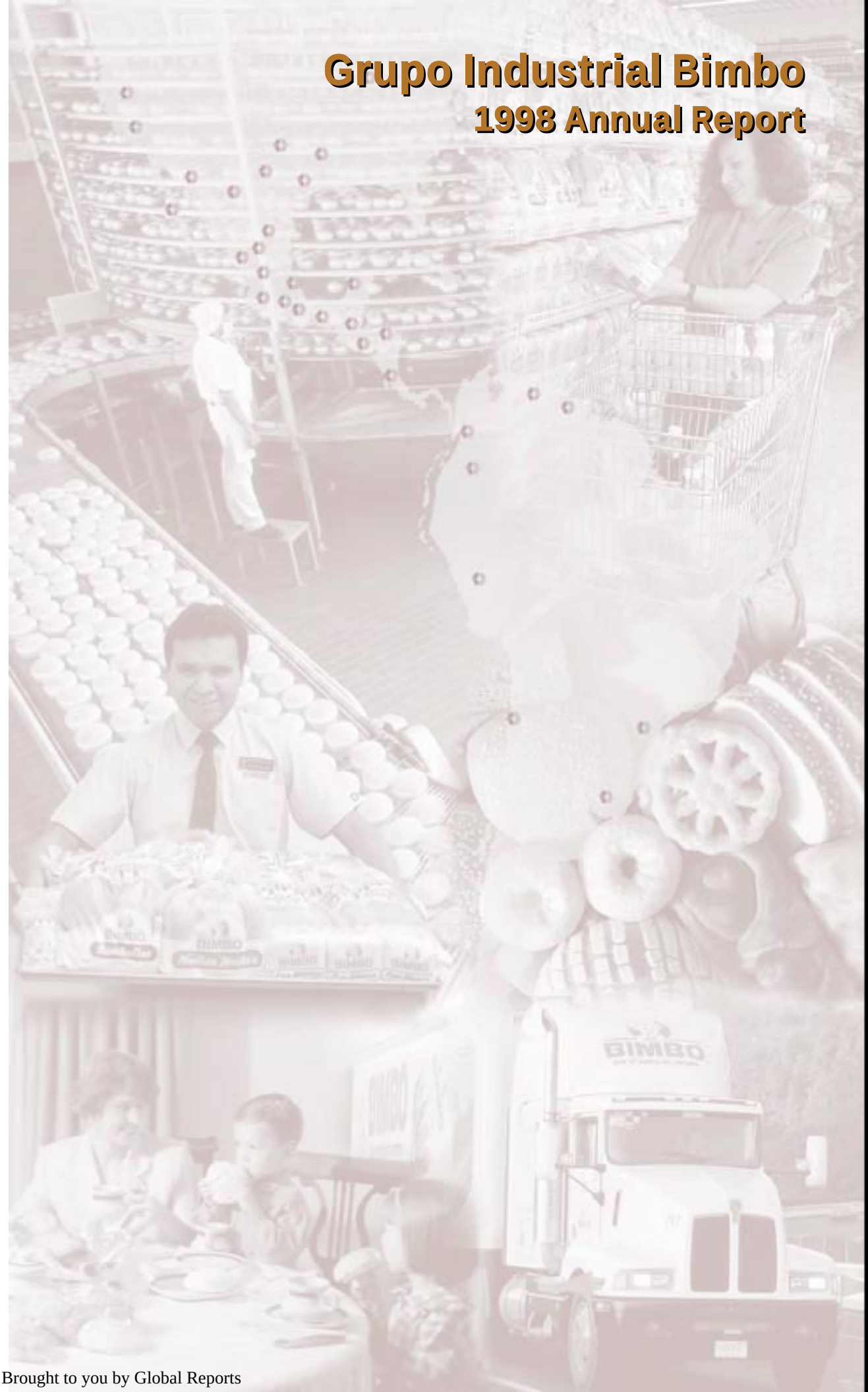
Grupo Industrial Bimbo

1998 Annual Report



Grupo Industrial Bimbo: a highly productive, people-oriented company.

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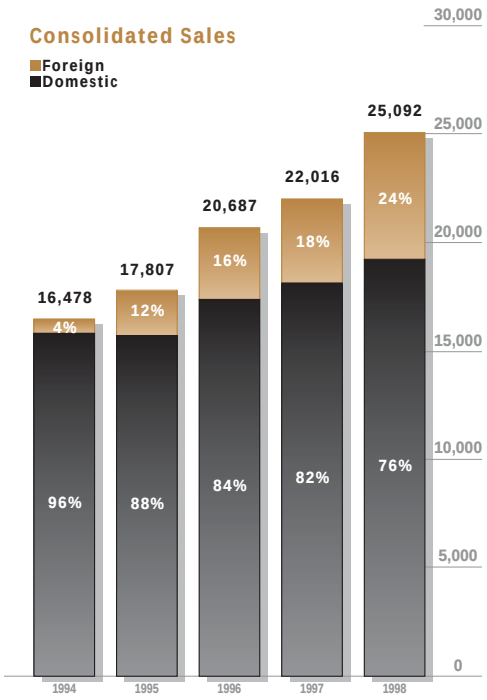
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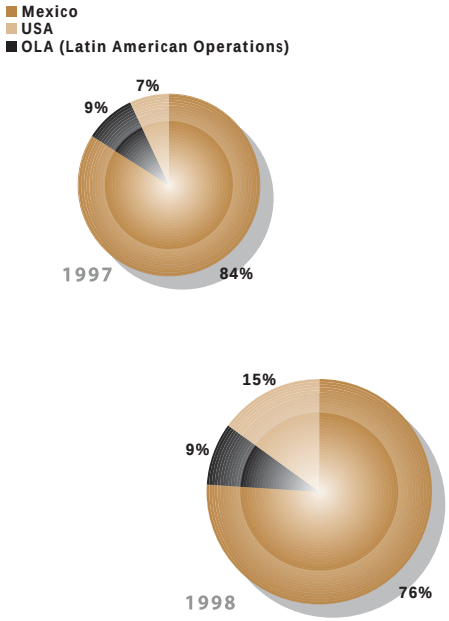
Highlights

Consolidated Sales

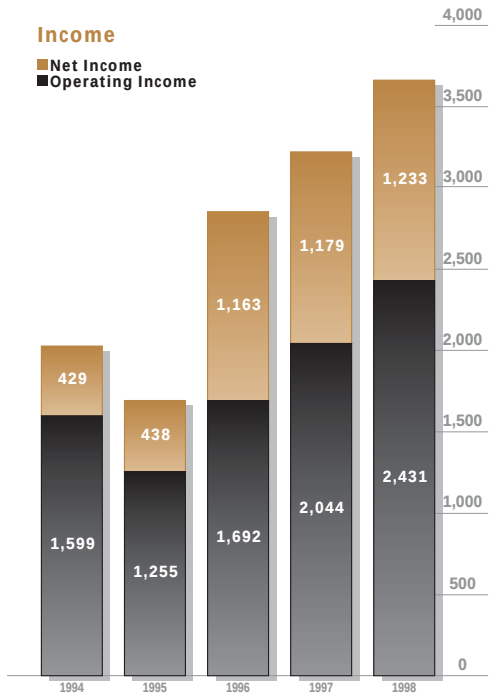


In Millions of constant Pesos as of Dec.'98

Sales Breakdown

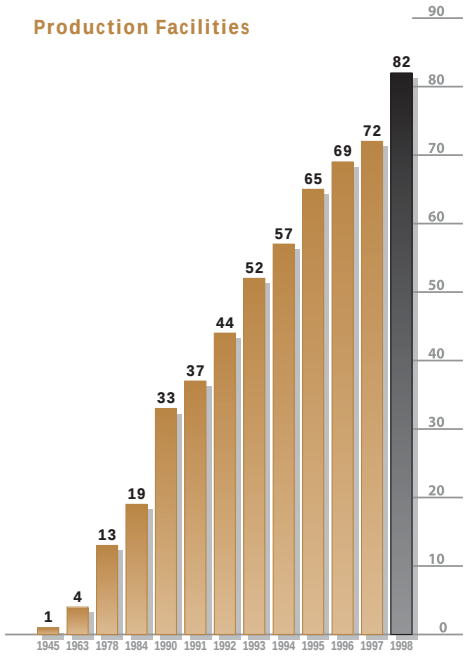


Income



In Millions of constant Pesos as of Dec. '98

Production Facilities



To our Stockholders:

I take pleasure, as usual, in greeting you again and also in being able to present to you a positive report, notwithstanding that 1998 was, as we all know, a very difficult year.

Our Group's basic operations have been developed within the sales and profit goals previously established.

However, the new operations, mainly the international ones, continue to report negative results, while showing positive trends.

The detailed statements of operations are available for you to review, and I will only focus on some general figures.

Consolidated sales for fiscal 1998 amounted to 25,092 million pesos (December 1998 currency), which represent a 14% increase over 1997 in constant pesos.

The operating income was 2,430 million pesos, that is, 18.9% above the prior year's figures. Net income for the year amounted to 1,233 million pesos, 4.6% above 1997, despite the negative impact of the exchange effect.

Investments during this year amounted to US$410.4 million, the most outstanding being the acquisition of the Texan company Mrs. Baird's. This company has recorded annual sales of over US$300 million. We think this transaction was highly strategic, and definite progress in working to attain or goals in the US.

The Group's foreign sales amounted to US$584.

By December 31, 64,685 people were working for the Group.

The most unfavorable aspects of our operations continue to be those in Central and South America, mainly in the Bimbo de Argentina plant. However, gradual improvements are being attained in almost all of the plants.

Other operations in the region, such as Venezuela, Colombia and Peru, have also recorded negative results, which are mainly due to the devaluations and crises these countries have undergone and to the fact that our operations in Peru were recently launched.

However, regardless of the difficulties encountered, we have continued to invest and reinvest whenever we felt an opportunity that would contribute to consolidating our presence in the region.

I will now mention the most outstanding aspects of each of the seven organizations of the Group.

Organización Bimbo, which is the base of the Group, has inaugurated three plants during the period being reported on: Industrial de Maíz, in the State of Hidalgo; a small bread plant in La Paz, B.C.; and Kodiz de Monterrey, N. L., a company engaged in the manufacture of tortillas and tostadas (toasted tortillas), was acquired. This plant has been expanded and refurbished to meet the strong demand for corn tostadas in the region. Regarding this product, worth mentioning is that almost all of the factories of this organization have been expanded and now include new installations for this dynamic product line.

This organization absorbed the Tía Rosa sweet bread line, which was integrated in the Wonder line distribution, thus obtaining a strong alternative distribution network.

The surge of serious competition in Monterrey represents an opportunity to intensify our efforts to promote, advertise and launch new products.

Organización Marinela –A substantial increase in investment profitability has been recorded, although it is difficult to compare other elements such as sales and revenues, because the transfer of the Tía Rosa operations makes such comparisons irrelevant. Most satisfactory for me is to say that boxed biscuits of this line have been introduced quite successfully and accepted in self-service stores.

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Organización Barcel, which has traditionally had profitability problems, now shows not only profits, but very encouraging performance due to its growth and, also, because some of its products have obtained winning ranks in a highly competitive market.

The new image has proven to be positive and has been well accepted by the general public.

Organización Ricolino has strengthened exceptionally during this period. Sales were 34% higher than those of the prior year, and its operations recorded acceptable earnings. This Group is currently working successfully to launch its products in international markets and has good growth expectations. During this period acquisition of Park Lane Confectionery in Germany was completed, which means promoting substantial exports to Europe.

Organización Altex has shown substantial growth in sales. Revenues were affected by the slippage in rates of the Mexican peso against the US dollar, since most wheat purchases are made in that currency. However, during this period, a wheat mill was acquired in Navojoa, Son., and the divestiture of the ice cream operations (Holanda and Bing) was completed, while retaining distribution of the Suandy and Frexport frozen products.

Organización Latinoamérica –As mentioned at the beginning, with some exceptions, the Latin American operations continue to record negative results. Some of them due to their being recently launched; others, partly due to the financial instability prevailing in the region, and others because they are under pressure of competition on their being recently-opened. A lot has been learnt in that area, yet we have nothing to regret from our incursion in those countries, since a promising future lies ahead, once our deficiencies have been corrected.

During the period reported on, our snack operation in Chile was profitably divested, since this is a line we do not intend to expand in that area.

For the first time in several years, a favorable cash flow was recorded from the Latin American organization, despite the launching of operations in Peru in June 1998. Sales in this region represented almost 9% of the overall Group's sales.

Bimbo USA

Operations in the US have grown significantly due to the acquisition of the ten Mrs. Baird's plants in Texas.

Advantage was taken of this situation to completely refurbish such plants and to consolidate the bakeries, the tortilla plants and the distribution centers under one umbrella organization named Bimbo Bakeries USA, Inc.

While no results have yet been obtained, we anticipate substantial advantages in various scenarios due to the synergies this consolidation represents.

Sales projected over one year represent approximately 19% of the Group's sales.

The different companies of the organizations are currently undergoing a consolidation process, which will yield savings and simplify operations, to the largest possible extent. This notwithstanding, control of individual operations will be maintained to ensure that each unit performs appropriately.

I would like to take the opportunity to express my deep satisfaction in seeing that the new management team is not only continuing the encouraging efforts of the former team, but also, looking to the future, aggressively and prudently, profiting from the large number of opportunities that open up daily for the Group's activities.

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As our Group has done in the past, efforts have been deployed in the furtherance of our policy of supporting community work, basically in aspects such as education, development of rural areas and ecology. Support to schools and to certain universities, especially to the Mexican Foundation for Rural Development, are among the principal work supported by our organizations. During the last year, we also participated in the Mexican Government's reforestation program.

Being aware of the important changes that are occurring worldwide, notably those that are due to globalization, the top priority for our Group in any latitude should be that of becoming the best option for our customers, indefatigably pursuing productivity and maintaining and increasing the quality of our products and services.

Our Group is contributing, in the most effective way possible, to a better environment. Needed investments have been made in water treatment processes and in those aimed at reducing pollution. We have also resolutely participated in reforestation programs, thus confirming our policies and practices in ecological matters.

One of the Group's major concerns has been and will continue to be our relationship with our employees. During October, various collective work contracts were revised, without the least problem. The resulting dual satisfaction is that everybody is pleased with the deal.

Considering market instability and financial volatility, practically all over the world, special confidence from our stockholders is required in order for us to, looking to the future, take advantage of every opportunity afforded us. Their accurate perception of such opportunities has allowed the Group to rank at the international level that is necessary to compete with success. Thank you for your confidence.

I have only to thank our stockholders, and all the people working for the Group, for your cooperation and support.

Roberto Servitje S.
Chairman of the Board of Directors

April 27, 1999.

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To the Stockholders of Grupo Industrial Bimbo, S.A. de C.V.:

As stockholder examiner and in compliance with Article 166 of the Mexican Corporate Law and the bylaws of Grupo Industrial Bimbo, S.A. de C.V., I submit my opinion regarding the accuracy, sufficiency and fairness of the financial information presented to you by the Board of Directors concerning the Company's operations for the year ended December 31, 1998.

I have attended the meetings of the Stockholders and Board of Directors to which I have been invited, and I have obtained from the directors and management all of the information relative to the operations, documents and records that I deemed necessary. My audit was performed in accordance with the auditing standards generally accepted in Mexico.

I have also audited the balance sheets, individual and consolidated of the Company as of December 31, 1998, and the related statements of income, stockholders' equity and changes in financial position for the year then ended, which are hereby submitted for your information and approval. In submitting this report, I have also relied on the report issued on such financial statements by Ruiz, Urquiza y Cía., S.C. (Arthur Andersen), independent auditors of the Company.

As a result of my audit I have the following observation:

Beginning in 1998, the Company adopted the new procedure for the translation of the financial statements of its foreign subsidiaries as prescribed by Bulletin B-15 recently issued by the Accounting Principles Commission (APC) of the Mexican Institute of Public Accountants, A.C. The effect of this change consists of the restatement of financial information of the foreign subsidiaries based on the inflation index of the corresponding country and translating it at the exchange rate as of the latest year end, both for the current and prior years, rather than restating all consolidated information based on the Mexican National Consumer Price Index (NCPI). Consequently, all financial statement amounts are comparable considering the functional currency of each country in which the Company operates.

In my opinion, the accounting and reporting policies and criteria followed by the Company and considered by management to prepare and present the financial information are appropriate and sufficient and were applied on a basis consistent with that of the preceding year; except for the matter mentioned in the preceding paragraph, a change with which I am in agreement; therefore, the financial information presented by management accurately, sufficiently and fairly presents the financial position of Grupo Industrial Bimbo, S.A. de C.V. as of December 31, 1998, and the results of its operations, the changes in its stockholders' equity and the changes in its financial position for the year then ended, in accordance with the accounting principles generally accepted in Mexico.



C.P. Juan Mauricio Gras Gas
Stockholder Examiner

March 26, 1999

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To the Stockholders of Grupo Industrial Bimbo, S.A. de C.V.:

We have audited the accompanying balance sheets of GRUPO INDUSTRIAL BIMBO, S.A. DE C.V. AND SUBSIDIARIES as of December 31, 1998, 1997 and 1996, and the related consolidated statements of income, changes in stockholders' equity and changes in financial position for the years then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits. We did not audit the financial statements of certain consolidated subsidiaries, which statements reflect total assets of 9%, 14% and 13% and total revenues of 10% in 1998 and 1997 and 12% in 1996, respectively, of the related consolidated totals. Those statements were audited by other auditors whose reports have been furnished to us, and our opinion, insofar as it relates to the amounts included for those entities, is based solely on the reports of the other auditors.

We conducted our audits in accordance with generally accepted auditing standards, which require that the audit be planned and performed to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with the accounting principles generally accepted in Mexico. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the reports of other auditors provide a reasonable basis for our opinion.

As explained in Note 3 to the financial statements, the companies changed their accounting policies as follows:

a) Beginning in 1998, the Company adopted the new procedures for the translation of the financial statements of its foreign subsidiaries as prescribed by recently-issued Bulletin B-15.

b) The Company elected the early adoption on January 1, 1997 of the new employee benefit calculation procedures prescribed by new Bulletin D-3, "Labor Obligations", which requires the use of real interest rates in the actuarial calculation of these benefits. Also beginning in January 1997, the companies restate their property, plant and equipment by using factors derived from the National Consumer Price Index (NCPI) in accordance with the Fifth Amendment of Bulletin B-10.

In our opinion, based on our audits and the reports of other auditors, the financial statements referred to above present fairly, in all material respects, the consolidated financial position of Grupo Industrial Bimbo, S.A. de C.V. and Subsidiaries as of December 31, 1998, 1997 and 1996, and the consolidated results of their operations, the changes in their stockholders' equity and the changes in their financial position for the years then ended, in accordance with the accounting principles generally accepted in Mexico.



March 26, 1999

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Consolidated Balance Sheets

Grupo Industrial Bimbo, S.A. de C.V. and Subsidiaries

As of December 31, 1998, 1997 and 1996

(Expressed in thousands of Mexican pesos with purchasing power as of December 31, 1998)

ASSETS

	1998	1997	1996
CURRENT ASSETS:			
Cash and marketable securities	**$ 717,270**	$ 802,327	$ 500,656
Notes and accounts receivable, net	**1,609,113**	1,329,137	1,437,138
Inventories	**1,247,729**	1,296,268	1,226,956
Prepayments	**66,882**	76,638	139,816
Total current assets	**3,640,994**	3,504,370	3,304,566
INVESTMENT IN SHARES OF ASSOCIATED COMPANIES AND OTHERS	**459,510**	674,736	449,004
PROPERTY, PLANT AND EQUIPMENT, net	**12,447,237**	11,382,306	11,463,311
GOODWILL, net	**2,695,418**	618,608	1,023,014
OTHER ASSETS, net	**352,477**	265,062	245,140
	$ 19,595,636	$ 16,445,082	$ 16,485,035

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LIABILITIES AND STOCKHOLDERS' EQUITY

	1998	1997	1996
CURRENT LIABILITIES:			
Bank loans and current portion of long-term debt	**$ 564,695**	$ 459,590	$ 1,250,988
Accounts payable to suppliers	**1,505,118**	1,054,228	1,073,710
Other accounts payable and accrued liabilities	**1,065,911**	712,682	710,777
Income taxes	**133,888**	22,753	—
Employee profit sharing	**242,693**	234,478	197,839
Total current liabilities	**3,512,305**	2,483,731	3,233,314
LONG-TERM DEBT	**4,182,818**	2,317,104	2,259,423
Total liabilities	**7,695,123**	4,800,835	5,492,737
STOCKHOLDERS' EQUITY:			
Capital stock	**4,165,461**	3,500,415	3,500,415
Reserve for repurchase of shares	**43,072**	43,072	43,072
Retained earnings	**8,624,167**	8,643,940	7,592,709
Cumulative restatement effect	**(1,413,633)**	(1,069,026)	(479,180)
	11,419,067	11,118,401	10,657,016
Minority interest	**481,446**	525,846	335,282
Total stockholders' equity	**11,900,513**	11,644,247	10,992,298
	$ 19,595,636	$ 16,445,082	$ 16,485,035

The accompanying notes are an integral part of these consolidated balance sheets.

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Consolidated Statements of Income

Grupo Industrial Bimbo, S.A. de C.V. and Subsidiaries

For the years ended December 31, 1998, 1997 and 1996

(Expressed in thousands of Mexican pesos with purchasing power as of December 31, 1998 / Except for earnings per share)

	1998	1997	1996
NET SALES	**$ 25,091,672**	$ 22,015,732	$ 20,686,768
COST OF SALES	**11,769,106**	10,737,080	10,779,873
Gross profit	**13,322,566**	11,278,652	9,906,895
OPERATING EXPENSES:			
Distribution and selling	**9,478,186**	8,047,878	7,212,261
Administrative	**1,413,777**	1,186,707	1,003,180
	10,891,963	9,234,585	8,215,441
Operating income	**2,430,603**	2,044,067	1,691,454
INTEGRAL COST OF FINANCING:			
Interest paid, net	**(344,471)**	(237,901)	(315,529)
Exchange loss, net	**(510,806)**	(110,706)	(25,374)
Gain from monetary position	**585,906**	457,248	660,066
	(269,371)	108,641	319,163
OTHER INCOME (EXPENSES), net	**57,156**	(131,919)	(48,879)
Income before provisions	**2,218,388**	2,020,789	1,961,738
PROVISIONS FOR:			
Income taxes	**728,478**	615,475	553,211
Employee profit sharing	**260,756**	246,939	217,450
	989,234	862,414	770,661
Income before equity in results of associated companies	**1,229,154**	1,158,375	1,191,077
EQUITY IN RESULTS OF ASSOCIATED COMPANIES	**28,504**	46,459	(7,634)
Net income for the year	**$ 1,257,658**	$ 1,204,834	$ 1,183,443
NET INCOME APPLICABLE TO:			
Majority stockholders	**$ 1,233,272**	$ 1,179,280	$ 1,162,490
Minority stockholders	**24,386**	25,554	20,953
	$ 1,257,658	$ 1,204,834	$ 1,183,443
EARNINGS PER SHARE	**$ 0.91**	$ 0.88	$ 0.87
WEIGHTED AVERAGE OUTSTANDING SHARES, (000´s)	**1,350,885**	1,340,000	1,340,000

The accompanying notes are an integral part of these consolidated statements.

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For the years ended December 31, 1998, 1997 and 1996

(Expressed in thousands of Mexican pesos with purchasing power as of December 31, 1998)

	Capital Stock	Reserve for Repurchase of Shares	Retained Earnings	Cumulative Restatement Effect	Minority Interest	Total Stockholders' Equity
BALANCES AS OF DECEMBER 31, 1995	$ 3,500,415	$ 43,072	$ 6,559,575	$ 1,166,778	$ 345,653	$ 11,615,493
Dividends declared	—	—	(129,356)	—	(22,248)	(151,604)
Net income for the year	—	—	1,162,490	—	20,953	1,183,443
Restatement effect of the year	—	—	—	(1,280,965)	(9,076)	(1,290,041)
Translation effect of the year	—	—	—	(364,993)	—	(364,993)
BALANCES AS OF DECEMBER 31, 1996	3,500,415	43,072	7,592,709	(479,180)	335,282	10,992,298
Dividends declared	—	—	(128,049)	—	(25,704)	(153,753)
Investment of minority interest	—	—	—	—	87,097	87,097
Net income for the year	—	—	1,179,280	—	25,554	1,204,834
Restatement effect of the year	—	—	—	(456,953)	103,617	(353,336)
Translation effect of the year	—	—	—	(132,893)	—	(132,893)
BALANCES AS OF DECEMBER 31, 1997	3,500,415	43,072	8,643,940	(1,069,026)	525,846	11,644,247
Increase in capital stock	665,046	—	—	—	—	665,046
Dividends declared	—	—	(1,253,045)	—	(63,570)	(1,316,615)
Net income for the year	—	—	1,233,272	—	24,386	1,257,658
Restatement effect of the year	—	—	—	(601,954)	(5,216)	(607,170)
Translation effect of the year	—	—	—	257,347	—	257,347
BALANCES AS OF DECEMBER 31, 1998	**$ 4,165,461**	**$ 43,072**	**$ 8,624,167**	**$ (1,413,633)**	**$ 481,446**	**$ 11,900,513**

The accompanying notes are an integral part of these consolidated statements.

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For the years ended December 31, 1998, 1997 and 1996

(Expressed in thousands of Mexican pesos with purchasing power as of December 31, 1998)

	1998	1997	1996
OPERATIONS:			
Results-			
Net income for the year	**$ 1,257,658**	$ 1,204,834	$ 1,183,443
Add (deduct) -Item which did not require (generate) cash-			
Depreciation and amortization	**1,028,877**	922,727	846,517
Goodwill amortization	**279,107**	384,689	148,207
Equity in results of associated companies	**(28,504)**	(46,459)	7,634
Employee benefits	**(80,711)**	14,946	(82,244)
Net resources obtained from results	**2,456,427**	2,480,737	2,103,557
Net resources generated by operating working capital	**456,029**	80,672	142,054
Net resources generated by operating	**2,912,456**	2,561,409	2,245,611
FINANCING ACTIVITIES:			
Increase (decrease) in bank loans and long-term debt in real terms	**2,406,287**	(257,106)	1,056,301
Decrease in bank loans and long-term debt from restatement to constant Mexican pesos	**(435,468)**	(476,611)	(679,787)
Dividends declared	**(1,316,615)**	(153,753)	(151,604)
Associated company dividends paid	**1,586**	36,997	—
Increase in capital stock	**665,046**	—	—
Investment of minority interest	**—**	87,097	—
	1,320,836	(763,376)	224,910
INVESTING ACTIVITIES:			
Decrease (increase) in investment in shares	**210,424**	(42,986)	(55,132)
Additions to property, plant and equipment, less net book value of retirements	**(1,523,938)**	(1,438,225)	(2,299,063)
Net (Increase) decrease in other assets	**(6,704)**	(34,868)	45,208
Goodwill	**(2,355,917)**	19,717	(150,067)
Net effect of incorporating the subsidiary acquired	**(642,214)**	—	—
	(4,318,349)	(1,496,362)	(2,459,054)
Net (Decrease) increase in cash and marketable securities	**(85,057)**	301,671	11,467
CASH AND MARKETABLE SECURITIES:			
At beginning of the year	**802,327**	500,656	489,189
At end of the year	**$ 717,270**	$ 802,327	$ 500,656

The accompanying notes are an integral part of these consolidated statements.

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1. EXPLANATION ADDED FOR TRANSLATION INTO ENGLISH:

These financial statements are presented on the basis of accounting principles generally accepted in Mexico. Certain accounting practices applied by the Company that conform with accounting principles generally accepted in Mexico may not conform with accounting principles generally accepted in the country of use.

2. PRINCIPAL ACTIVITIES:

The companies are engaged in the manufacturing, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

In May 1998, Grupo Industrial Bimbo, S.A. de C.V. (the Company) acquired 100% of the shares of Mrs. Baird's Bakeries, Inc., a company incorporated in the United States of America engaged in the manufacturing of bread and cakes in the state of Texas. As of December 31, 1998 the net sales, operating income, net income for the year and total assets of this company are $2,237,302, $76,805, $80,130 and $1,326,456, respectively.

The Company operates within different geographic areas: Mexico, the United States of America (U.S.) and Central and South America (OLA).

The most significant data by geographic area are as follows:

As of December 31, 1998:

	Mexico	U.S.	OLA	Total
Net sales	$ 19,115,778	$ 3,614,036	$ 2,361,858	$ 25,091,672
Operating income (loss)	$ 2,646,113	$ 105,278	$ (320,788)	$ 2,430,603
Operating income (loss) plus depreciation and amortization (EBITDA)	$ 3,361,636	$ 232,910	$ (135,066)	$ 3,459,480
Total assets	$ 12,699,010	$ 4,370,906	$ 2,525,720	$ 19,595,636

As of December 31, 1997:

	Mexico	U.S.	OLA	Total
Net sales	$ 18,392,083	$ 1,559,219	$ 2,064,430	$ 22,015,732
Operating income (loss)	$ 2,211,107	$ 39,217	$ (206,257)	$ 2,044,067
Operating income (loss) plus depreciation and amortization (EBITDA)	$ 2,862,857	$ 130,779	$ 3,158	$ 2,966,794
Total assets	$ 12,941,586	$ 775,703	$ 2,727,793	$ 16,445,082

As of December 31, 1996:

	Mexico	U.S.	OLA	Total
Net sales	$ 17,526,543	$ 1,052,837	$ 2,107,388	$ 20,686,768
Operating income (loss)	$ 2,194,037	$ (76,251)	$ (426,332)	$ 1,691,454
Operating income (loss) plus depreciation and amortization (EBITDA)	$ 2,706,894	$ 7,249	$ (176,172)	$ 2,537,971
Total assets	$ 12,678,445	$ 884,253	$ 2,922,337	$ 16,485,035

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3. BASIS OF CONSOLIDATION:

The accompanying consolidated financial statements include the financial statements of the Company and subsidiaries in which it exercises control over management, divided into the following three business divisions:

- Bakeries.
- Snack and candy manufacturing companies.
- Agro-industrial and other companies.

During 1998, 1997 and 1996 the net sales of the Mexican Bimbo and Marinela lines, which are part of the bakeries, represented approximately 55%, 60% and 68%, respectively, of net consolidated sales.

The financial statements of independently operated foreign subsidiaries are restated based on the inflation rate of the countries in which they operate, in accordance with the procedures described below, and are translated at the exchange rate at yearend.

Equity in earnings and changes in equity of subsidiaries that were acquired or sold during the year were included in the financial statements from or up to the date of the transactions and were restated in terms of the purchasing power of the Mexican peso at yearend.

All significant intercompany transactions and balances have been eliminated in consolidation.

4. SIGNIFICANT ACCOUNTING POLICIES:

The accounting policies followed by the companies are in conformity with the accounting principles generally accepted in Mexico, which require that management make certain estimates and use certain assumptions to determine the valuation of some items included in the financial statements and make the required disclosures therein. While the estimates and assumptions used may differ from their final effect, management believes that they were adequate under the circumstances. The significant accounting policies are as follows:

Changes in accounting policies-

During 1998, the Company adopted the new procedures for the translation of the financial statements of its foreign subsidiaries as prescribed by Bulletin B-15 recently issued by the Accounting Principles Commission (APC) of the Mexican Institute of Public Accountants, A.C. The effect of this change consists of the restatement of financial information of the foreign subsidiaries based on the inflation index of the corresponding country and translating it at the exchange rate as of the latest yearend, both for the current and prior years, rather than restating all consolidated information based on the Mexican National Consumer Price Index (NCPI). Consequently, all financial statement amounts are comparable considering the functional currency of each country in which the Company operates.

During 1997 the Mexican companies changed their accounting policies as follows:

a) The companies adopted the guidelines of the Fifth Amendment to Bulletin B-10 issued by the APC. The restatement of property, plant and equipment and its effects thereof in the statement of income have been determined by using factors derived from the NCPI. Up until 1996, fixed assets were restated to their net replacement cost determined by an appraiser, who also calculated the related depreciation based on the estimated useful lives of the corresponding assets.

   The changes in general price level method presents restated cost and not restated values in the financial information. The December 31, 1996 property, plant and equipment amounts were considered the referenced historical cost and the basis for subsequent restatement. Depreciation is determined on the estimated useful lives of the assets.

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b) The companies adopted the guidelines of Circular 50 of the APC and determined their labor liabilities using real interest rates for the return on fund assets and salary increases, rather than the nominal interest rates used in 1996. The effect of this change increased the projected benefit obligation, reduced the related financing costs and reduced the return on fund assets by $15,418, $28,000 and $88,000, respectively.

Basis of translation of financial statements-

The accounting records of the foreign companies located in the United States of America (U.S.), Central and South America (OLA), which represented 24%, 16% and 15% of consolidated net sales and 35%, 21% and 23% of total consolidated assets in 1998, 1997 and 1996, respectively, are maintained in local currency. Effective 1998, they are translated into Mexican pesos in accordance with Bulletin B-15, "Transactions in Foreign Currency and Translation of Financial Statements of Foreign Operations", issued by the APC, as follows:

- Adjust the local currency financial statements to conform with the accounting principles generally accepted in Mexico and restate them using the inflation rate applicable for each country.

- All amounts in the balance sheet, except for those related to capital stock, are translated at the exchange rate effective at yearend. Capital stock is translated at the exchange rate effective at the time of acquisition or incorporation of the subsidiaries. The statement of income is translated at the exchange rates in effect at the end of the latest period. The effects of exchange rate fluctuations on the translation are recorded in the cumulative restatement effect included in stockholders' equity.

Until 1997, the accounting records of the foreign subsidiaries were first translated into U.S. dollars and then into Mexican pesos, in accordance with International Accounting Standard No. 21 (IAS-21), "Effects of Variations in Exchange Rates of Foreign Currency and Translation of Financial Statements in Foreign Currency". That bulletin establishes the procedures for the translation of financial statements of entities that are considered foreign entities. The procedures were as follows:

- The effects of inflation in the financial information was recognized using the inflation index of each country and eliminating the effects of the differences between the accounting principles generally accepted in the foreign countries and the accounting principles generally accepted in Mexico.

- All balance sheet amounts, except capital stock, were translated at the yearend exchange rate. Capital stock is translated using the exchange rate at the date of acquisition or incorporation of the subsidiaries.

- The statement of income was translated each month using the average monthly exchange rate.

- The effects of exchange rate fluctuations on the translations were recorded in the cumulative translation effect in stockholders' equity.

Since the operations of Mrs. Baird's Bakeries, Inc. represents a "foreign entity" as defined by Bulletin B-15, the Company has designated the net investment in this foreign subsidiary as an economic hedge of the related financing obtained in U.S. dollars and used to acquire this subsidiary Accordingly, the related foreign exchange losses in Mexican pesos, which amounted to $269,040 in 1998, were recorded in the cumulative translation effect and the related monetary gain on the debt was recorded using the inflation index of the United States of America, in accordance with the guidelines of Bulletin B-15.

Recognition of the effects of inflation in the financial information-

The companies restate all of their financial statements in terms of the purchasing power of the Mexican peso as of the end of the latest period, thereby comprehensively recognizing the effects of inflation. Accordingly, the accompanying financial statements of the prior year have been restated in terms of Mexican pesos as of December 31, 1998. The prior years' amounts presented herein differ from those originally reported in terms of Mexican pesos of the corresponding years. Consequently, all financial statement amounts are comparable, both for the current and the prior years, since all are stated in terms of Mexican pesos with the same purchasing power.

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The rates of inflation of the countries in which the Company operates are as follows:

	%		
	1998	**1997**	**1996**
Argentina	**0.64**	(0.07)	1.72
Colombia	**16.70**	17.68	21.65
Costa Rica	**12.36**	11.20	13.90
Chile	**4.67**	6.04	6.64
United States of America	**1.61**	1.70	3.32
El Salvador	**4.21**	1.93	7.36
Guatemala	**7.48**	7.13	10.85
Honduras	**13.70**	12.80	27.40
Peru	**6.01**	6.46	11.84
Mexico	**18.60**	15.71	27.70
Uruguay	**3.30**	13.26	23.47
Venezuela	**29.90**	37.60	103.20

To recognize the effects of inflation in terms of Mexican pesos with purchasing power as of yearend, the procedures were as follows:

- Balance sheet:

  Inventories are valued at average cost and restated to net replacement value, which does not exceed realizable value.

  Property, plant and equipment are recorded at acquisition or construction cost until 1996, and restated to their net replacement cost as determined by independent appraisals. The related depreciation was calculated based on the appraised values and useful lives of the assets as estimated by the appraisers. The amortization of leasehold improvements was calculated based on the useful lives estimated by the appraisers, rather than over the life of the lease agreements, given that the companies consider renewing such agreements upon expiration.

  Beginning in 1997 these fixed assets are restated based on factors derived from the NCPI. The related depreciation is calculated based on the estimated useful life of each asset over the restated value.

  Prepaid advertising expenses are restated by applying factors derived from the NCPI, from the date of payment through maturity or yearend.

  The investment in associated companies was restated by applying the equity method to the restated stockholders' equity of the associated companies.

  Goodwill is restated using a factor derived from the inflation rate of the country in which the Company has the investment, from the date of acquisition of the related subsidiaries and associated companies.

  Stockholders' equity and other nonmonetary items are restated using a factor derived from the NCPI cumulative from the date of contribution or generation.

- Statement of income:

  Revenues and expenses that are associated with a monetary item are restated from the month in which they arise through yearend, based on factors derived from the NCPI.

  Costs and expenses associated with nonmonetary items are restated as follows:

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- Cost of sales is restated based on replacement costs determined using the last-in, first-out (LIFO) method and restated based on the inflation from the month incurred through yearend, with the additional restatement of inventories that are being consumed or sold.

- Depreciation is calculated on the restated cost of the corresponding property, plant and equipment and is calculated using the straight-line method.

- Expenses associated with nonmonetary items are restated through yearend, as a function of the restatement of the nonmonetary asset that is being consumed or sold.

The result from monetary position, which represents the erosion of the purchasing power of monetary items caused by inflation, is determined by applying to net monetary assets or liabilities at the beginning of the month the inflation factor derived from the NCPI and is restated through yearend with the corresponding factor.

- In the other statements:

The statement of changes in financial position presents the changes in constant Mexican pesos, according to the financial position at the prior yearend, restated to Mexican pesos as of the end of the latest yearend.

The cumulative restatement effect presented in the statement of stockholders' equity is comprised mainly of the gain or loss from holding nonmonetary assets, which beginning in 1997 represents the change in the specific price level of the inventories, investment in shares of associated companies and property, plant and equipment of foreign subsidiaries and their effect on the results of operations as compared to the NCPI, and also includes the cumulative translation effect.

Marketable securities-

Marketable securities are primarily short-term investments, bank deposits, bank acceptances and treasury bills valued at market (cost plus accrued interest).

Investment in shares of other companies-

Long-term investments in which the Company does not have significant influence are valued at cost.

Goodwill-

Goodwill resulting from acquisitions made by the Company at prices greater than the restated book value of the related companies, is amortized, beginning in 1998, over a period of 20 years, the term over which management expects that additional benefits will be generated by these investments. Until 1997, goodwill was amortized over 8 years. The amounts amortized in 1998, 1997 and 1996 were $203,392, $235,667 and $148,207, respectively, and are included in the statement of income in other income (expenses), which does not include the following sales:

- In May 1998, the Company sold its capital investment of 40% in Quan, S.A. de C.V. (associated company), taking it out of the ice cream business. As a result, the Company canceled $75,715 of the corresponding goodwill against the statement of income under other income (expenses).

- During 1997, Quan, S.A. de C.V. (associated company) sold 50.1% of its investment in Helados Holanda, S.A. de C.V. and 49.9% in Helados Bing, S.A. de C.V. (its largest subsidiaries). As a result, the Company canceled $149,022 of the corresponding goodwill against the equity in results of associated companies, which included the gain on the sale.

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Income taxes and employee profit sharing-

Since there are no significant nonrecurring temporary differences, which arise from specific items whose turnaround period can be determined and that are not expected to be replaced by items of a similar nature and amount, the companies have not recorded any deferred or prepaid income taxes and employee profit sharing effects.

Employee benefits-

Under Mexican labor law, most of the subsidiaries are liable for separation payments and seniority premiums to employees terminating under certain circumstances.

The companies record their liabilities from seniority premiums, pensions and indemnity payments as earned or incurred, using actuarial calculations based on the projected unit credit method, since 1997 using real interest rates and making the contributions to the trust on the same basis.

The companies adopted the recommendations of Circular 50 of the APC and since 1997 calculate their labor liabilities using real interest rates for the return on fund assets and the increase in salaries, in place of the nominal interest rates used in 1996.

Severance payments to involuntarily terminated employees are charged to results in the period in which they are made.

Integral cost of financing-

The integral cost of financing includes all financial revenues and expenses, such as interest income and expense, exchange gains or losses and the gains or losses from monetary position as they occur or accrue.

Transactions in foreign currency are recorded at the exchange rate as of the date of the transaction and the assets and liabilities in foreign currency are adjusted at the exchange rate as of yearend, affecting income as part of the integral cost of financing.

Earnings per share-

Earnings per share have been computed each year by dividing the majority net income for the year by the weighted average number of shares outstanding during the year. As of December 31, 1997 and 1996 a retroactive adjustment was made for the stock split on February 19, 1998, as mentioned in Note 14.

5. TRANSACTIONS AND FOREIGN CURRENCY POSITION:

At December 31, 1998, 1997 and 1996 the exchange rate was $9.865, $8.0833 and $7.8509, respectively, Mexican pesos per U.S. dollar and foreign currency denominated assets and liabilities of those subsidiaries located in Mexico amount to:

	Thousands of U.S. Dollars		
	1998	**1997**	**1996**
Current assets	**33,872**	34,565	9,433
Liabilities-			
Current	**43,960**	82,087	48,315
Long-term	**416,200**	228,000	205,958
	460,160	310,087	254,273
Net foreign currency liability position	**426,288**	275,522	244,840
Equivalent in thousands of Mexican pesos	**$ 4,205,334**	$ 2,718,024	$ 2,415,347

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As of December 31, 1998, the international organization has a long-term liability position in foreign currency with respect to the country in which it operates in the amount of 11,495 thousand U.S. dollars, equivalent to $113,398.

The principal transactions in foreign currency carried out by the companies, excluding foreign subsidiaries' sales and the exports between companies, which were eliminated in the consolidation process, are as follows:

	Thousands of U.S. Dollars		
	1998	**1997**	**1996**
Sales	**15,594**	40,896	51,243
Purchases other than fixed assets	**(115,473)**	(99,369)	(143,792)
Interest expense, net	**(33,913)**	(18,922)	(16,924)
Other expenses	**(10,213)**	(18,138)	(20,466)
	(144,005)	(95,533)	(129,939)
Equivalent in thousands of Mexican pesos	**$ (1,316,206)**	$ (873,172)	$ (1,187,642)

At March 26, 1999, the unaudited foreign exchange position is similar to that at yearend, and the exchange rate is $9.6917 Mexican pesos per U.S. dollar.

6. NOTES AND ACCOUNTS RECEIVABLE:

	1998	**1997**	**1996**
Trade and agencies, net	**$ 1,032,726**	$ 769,040	$ 725,227
Notes receivable	**24,782**	35,304	60,587
Recoverable value-added tax	**284,502**	270,336	357,572
Recoverable income taxes	**—**	—	22,202
Sundry debtors	**262,276**	248,545	264,918
Officers and employees	**4,827**	5,912	6,632
	$ 1,609,113	$ 1,329,137	$ 1,437,138

7. INVENTORIES:

	1998	**1997**	**1996**
Raw materials	**$ 367,048**	$ 393,413	$ 396,321
Containers and wrapping	**172,886**	149,636	167,946
Orders-in-progress	**24,470**	33,476	50,645
Finished products	**177,627**	204,778	203,097
Advances to suppliers	**9,555**	14,899	81,081
Raw materials-in-transit	**455,843**	461,035	$ 292,812
Other warehouses	**40,300**	39,031	35,054
	$ 1,247,729	$ 1,296,268	$ 1,226,956

8. PREPAYMENTS:

	1998	**1997**	**1996**
Advertising	**$ 35,788**	$ 55,353	$ 89,740
Other	**31,094**	21,285	50,076
	$ 66,882	$ 76,638	$ 139,816

9. INVESTMENT IN SHARES OF ASSOCIATED COMPANIES AND OTHER:

	1998	**1997**	**1996**
Associated companies	**$ 458,188**	$ 673,169	$ 447,190
Other	**1,322**	1,567	1,814
	$ 459,510	$ 674,736	$ 449,004

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10. PROPERTY, PLANT AND EQUIPMENT:

	1998	1997	1996
Buildings	**$ 3,775,356**	$ 3,409,321	$ 3,274,672
Manufacturing equipment	**8,559,929**	7,788,445	7,294,479
Vehicles	**3,990,886**	3,869,365	3,792,049
Molds and trays	**440,473**	324,377	235,642
Mechanic shop equipment	**179,355**	135,100	115,219
Office equipment	**211,174**	113,041	113,173
Computer equipment	**218,906**	179,955	145,323
Freezers	**89,266**	70,582	65,621
	17,465,345	15,890,186	15,036,178
Less-Accumulated depreciation	**(6,626,905)**	(6,072,987)	(5,581,474)
	10,838,440	9,817,199	9,454,704
Land	**1,226,413**	1,168,065	1,103,167
Construction-in-progres and machinery-in-transit	**382,384**	397,042	905,440
	$ 12,447,237	$ 11,382,306	$ 11,463,311

The average annual rates of depreciation used are as follows:

		%	
	1998	1997	1996
Buildings	**5**	6	5
Manufacturing equipment	**11**	11	12
Vehicles	**8**	8	7
Molds and trays	**30**	31	30
Mechanic shop equipment	**10**	12	8
Office equipment	**15**	16	14
Computer equipment	**15**	16	15
Freezers	**6**	5	6

11. EMPLOYEE BENEFITS

The companies record the employee benefits as they accrue, which at present value will cover the obligation from benefits projected to the estimated retirement date of the Company's employees, as follows:

	1998	1997	1996
Projected benefit obligation (PBO)	**$ 1,218,806**	$ 977,620	$ 891,353
Plan assets	**2,192,359**	2,340,125	1,589,539
Excess of plan assets over projected benefit obligation	**(973,553)**	(1,362,505)	(698,186)
Unamortized actuarial losses	**193,689**	658,307	341,484
Initial transition liability to be amortized	**464,621**	475,573	162,417
Prepayment, included in others assets	**$ (315,243)**	$ (228,625)	$ (194,285)

At December 31, 1998, the amount accrued for the obligation from present services (equivalent to the PBO without projecting salaries to the date of retirement) amounted to $852,818.

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The prepayment resulting from the plan assets exceeding the projected liabilities at December 31, 1998 is recognized in results over the estimated remaining work life of the employees.

The cost of employee benefits for the years ended December 31, 1998, 1997 and 1996 is as follows:

	1998	1997	1996
Service cost for the year	**$ 67,778**	$ 68,771	$ 48,510
Financial cost for the year	**46,640**	45,056	73,575
Amortization of transition liability	**(18,264)**	—	(22,388)
Amortization of actuarial losses, net	**(16,255)**	(18,799)	(14,074)
	79,899	95,028	85,623
Less-Return on plan assets	**(160,610)**	(80,082)	(167,867)
	$ (80,711)	$ 14,946	$ (82,244)

The assumptions used in the actuarial computations during 1998, 1997 and 1996 are as follows:

	1998	1997	1996
Interest rate	**5.0%**	5.0%	13.0%
Investment return rate	**7.0%**	7.0%	13.0%
Salary increase rate	**1.5%**	1.5%	10.0%

12. TAX ENVIRONMENT:

In Mexico

Income and assets tax regulations-

The companies are subject to income and asset taxes. Income taxes are computed taking into consideration certain taxable and deductible effects of inflation, such as depreciation calculated on restated asset values and the deduction of purchases in place of cost of sales, which permit the deduction of current costs, and taxable income is increased or reduced by the effects of inflation on certain monetary assets and liabilities through the inflationary component, which is similar to the gain or loss from monetary position. The income tax rate in effect through 1998 was 34% of taxable income. Beginning in 1999, the income tax rate increased from 34% to 35%, with the obligation to pay this tax each year at a rate of 30% (transitorily 32% in 1999), with the remainder payable upon distribution of earnings.

Asset taxes are computed at an annual rate of 1.8% on the average of the majority of restated assets less certain liabilities, and the tax is paid only to the extent that it exceeds the income taxes of the period. The Company paid no asset taxes in 1998, 1997 and 1996 on a consolidated basis. Any required payment of asset taxes is creditable against the excess of income taxes over asset taxes of the previous three and following ten years.

The Company is authorized by the Mexican tax authorities to file a consolidated income and asset tax return only for the Mexican subsidiaries.

Reconciliation of accounting and taxable income-

The provision for income taxes was determined based on the amount payable in accordance with the consolidated Mexican taxable income. The principal differences between book and taxable income are: depreciation on restated asset values, gain from monetary position, inflationary component, the difference between cost of sales and inventory purchases and translation effects.

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Employee profit sharing is calculated on the basis of the individual results of each Mexican subsidiary and is determined based on taxable income that excludes the inflationary component and depreciation is based on historical rather than restated values.

Recurring temporary differences-

At December 31, 1998 the net amount of recurring temporary differences of $203,525, which do not result in the recording of prepaid income taxes and employee profit sharing, will become deductible upon reversal. This amount does not include items arising from the differences between the book and tax bases of inventories, property, plant and equipment and the effects of foreign subsidiaries.

In other countries

Foreign subsidiaries compute their income taxes based on their individual taxable income and in accordance with the specific provisions of each country. Provisions for income taxes of these subsidiaries are not significant because most of them have tax losses and therefore, no resulting income taxes.

13. BANK LOANS AND LONG-TERM DEBT:

At December 31, 1998, the Company's bank loans and long-term debt are as follows:

Bank	Short-term	Long-term
International Finance Corporation (IFC)	$ 116,407	$ 1,146,313
ING Baring (U.S.) Capital Corporation (ING)	—	986,500
Bank of Montreal (BM)	—	1,973,000
Other	448,288	77,005
	$ 564,695	$ 4,182,818

The maturities of long-term debt as of December 31, 1998 are as follows:

Due in:	
2000	$ 412,414
2001	1,201,557
2002	1,201,557
2003	609,657
2004	193,354
2005 and thereafter	564,279
	$ 4,182,818

- On August 17, 1998, the Company obtained a loan from BM for 200 million U.S. dollars, which was provided on that date and used for the acquisition of 100% of the shares of Mrs. Baird's Bakeries, Inc. The loan is due in 5 years including a 2-year grace period. The financing consists of ten promissory notes of which 37.5 million U.S. dollars were funded with BM's resources and the rest syndicated with several national and foreign banks.

  This financing bears variable interest at the LIBOR plus 0.9375% for the first year; the LIBOR plus 1% in the second year; the LIBOR plus 1.0625% in the third year; the LIBOR plus 1.125% in the fourth year and thereafter. This financing has 13 quarterly payments, which begin on August 17, 2000. Also, certain restrictions are established with respect to the financial structure of the Company and limit the payment of dividends from earnings generated subsequent to the signing of the loan agreement. As of December 31, 1998, the Company is in compliance with these restrictions.

- On October 17, 1997, the Company obtained financing from ING in the amount of 100 million U.S. dollars, which was utilized at that date to pay the remainder of the 100 million U.S. dollar loan from IFC obtained in November 1991 and other short-term loans in U.S. dollars. This financing consists of six promissory notes, of which one for 20 million U.S. dollars is with ING's own resources and the rest syndicated with a number of foreign banks.

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This financing bears interest at the LIBOR plus 0.675% and will be paid in two equal installments on September 17, 2001 and 2002. Also, certain restrictions are established with respect to the financial structure of the Company and the payment of dividends from earnings generated subsequent to the signing of the loan agreement. As of December 31, 1998, the Company is in compliance with these restrictions.

On September 18, 1998, the Company signed an interest rate swap contract with Citibank, NA, whereby the fixed annual interest rate will be 5.09% on the financing acquired with ING, for a 3-year term starting on March 17, 1999, with quarterly payments as of that date.

- On February 2, 1996, the Company contracted additional financing with IFC in the amount of 140 million U.S. dollars, which was funded on that date and utilized to repay its short-term loan in U.S. dollars outstanding at December 31, 1995. The financing consists of three promissory notes; promissory notes "A" and "C" were funded with IFC's own resources and funds for promissory note "B" were provided by private U.S. investors through IFC. However, for Company purposes the resources were fully provided by IFC.

  The promissory notes are for 25, 105 and 10 million U.S. dollars for the "A", "B" and "C" notes, respectively. The "A" and "B" notes bear interest at a fixed annual rate of 8.74%, and the "C" note bears interest at a variable six-month LIBOR rate, all of which are payable in semiannual installments.

  The financing term is 12 years, with 11 annual payments of principal beginning February 1998, for promissory notes "A" and "B", and the term is 10 years for promissory note "C", which is due at the end of the contract based on the value of the Company's shares on the Mexican stock exchange. The total amount to be paid will be calculated by multiplying the principal by the return on the shares over the 10 years, with a maximum of 2.25 times the principal (22,500,000 U.S. dollars) and a minimum equivalent to the amount of the promissory note. This promissory note is private and therefore not negotiable.

  There are certain restrictions and obligations established with respect to the financial structure of the Company and the guarantors of the loan. Dividend payments must be approved by IFC, and new financing is limited. Certain subsidiaries are also guarantors on the loans. At December 31, 1998, the Company has complied with all of the restrictive covenants.

There are other direct and unsecured loans in U.S. dollars with domestic and foreign banks, which bear interest at variable rates based on the LIBOR.

14. STOCKHOLDERS' EQUITY:

At the General Extraordinary Stockholders' Meeting held on February 19, 1998, with the object of increasing the Company's stock movement on the Mexican Stock Exchange, the stockholders approved an increase in the fixed portion of capital stock through a stock split of four new shares for each share outstanding. As of this date, the fixed portion of the capital stock is represented by 1,340,000,000 Series "A" shares, ordinary, nominative, without par, fully subscribed and paid.

The variable capital stock cannot exceed ten times the amount of minimum fixed capital without withdrawal rights and will be represented by Series "B" shares, ordinary, nominative, without par and/or shares with limited voting rights, nominative, without par, which will be denominated with the name of the Series determined when issued. At no time can the shares with limited voting rights represent more than 25% of total capital stock.

At the General Extraordinary Stockholders' Meeting held on April 28, 1998, the stockholders approved an increase in the fixed capital stock of $600,060 (at nominal value) through the issuance of 27,400,000 Series "A" shares, ordinary, nominative, without par. Such increase was paid in cash.

At December 31, 1998, the capital stock was made up of 1,367,400,000 shares fully subscribed and paid, corresponding to the fixed portion of capital stock.

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Stockholders' equity is as follows:

	1998	1997	1996
Capital stock-			
Historical	**$ 1,226,128**	$ 626,068	$ 626,068
Restatement	**2,939,333**	2,874,347	2,874,347
	$ 4,165,461	$ 3,500,415	$ 3,500,415

	1998	1997	1996
Retained earnings-			
Historical	**$ 2,853,858**	$ 2,266,366	$ 1,508,589
Legal reserve (historical)	**126,000**	80,000	37,400
Restatement	**5,644,309**	6,297,574	6,046,720
	$ 8,624,167	$ 8,643,940	$ 7,592,709

Dividends paid to majority shareholders in the past three years are as follows:

Approved at Stockholders' meeting on:	**Nominal Value Mexican Pesos per Share**	**Total**	**Restated as of December 31, 1998**
April 29 and December 14, 1998	$ 0.70 & $ 0.15	$ 1,143,110	$ 1,253,045
April 29, 1997	$ 0.30	$ 100,500	$ 128,049
April 23, 1996	$ 0.25	$ 83,750	$ 129,356

As of 1999, dividends paid to individuals or foreign residents will be subject to income tax withholding at an effective rate of 7.5% to 7.7%, depending on the year in which the earnings were generated. In addition, if earnings for which no corporate tax has been paid are distributed, the tax must be paid upon distribution of the dividends. Consequently, the Company must keep a record of earnings subject to each tax rate. At December 31, 1998, earnings for which corporate taxes have been paid amounted to approximately $9,191,000.

Capital reductions will be subject to taxes on the excess of the reduction over the price-level adjusted paid-in capital, in accordance with the formula prescribed by the income tax law.

The annual net income of the Company and some subsidiaries is subject to the legal requirement that 5% be transferred to a legal reserve each year until the reserve equals 20% of capital stock. This reserve may not be distributed to stockholders during the existence of the Company, except in the form of a stock dividend.

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